

GLOBAL FINTECH: ITALY, SPAIN, AND PORTUGAL

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Italy – Strengths

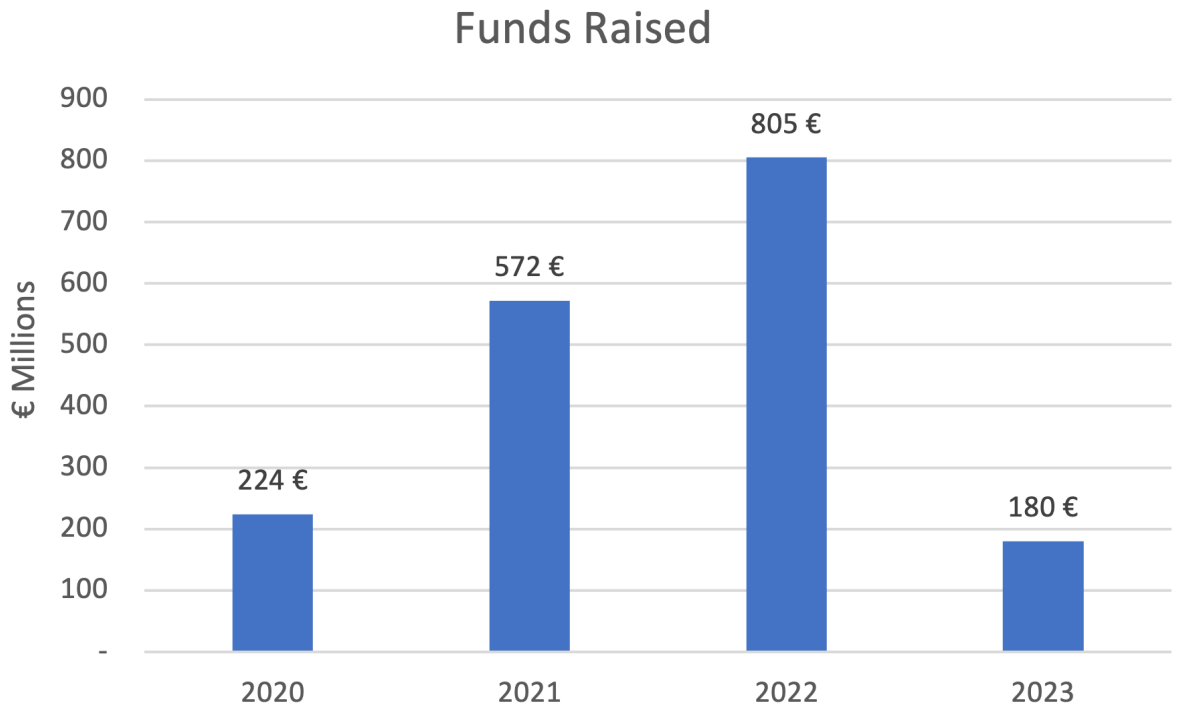
- **Current Landscape**
  - Over 600 fintechs
  - Key areas in payments, lending, wealthtech, and cryptocurrency
- **Expanding Ecosystem**
  - Fintech District (Est. 2017, Milan)
    - Fintech community of 300+ fintech companies (Revolut, Klarna, and N26)
    - Raised over €80 million in 2024
- **Strong Talent Pool**
  - Over 21,000 annual graduates in microelectronics-related disciplines
  - Second among European countries for the number of master's degree graduates in engineering and related fields
- **Public-Private Collaboration**
  - Established Fintech Committee
  - Fintech Sandbox



Tiernan Geary

Italy – Weaknesses

- **Fragmented Regulatory Environment**
  - Multiple authorities with different regulations and processes
- **Funding Fluctuations (VC)**
  - In 2023, Italian fintech startups raised €180 million, reflecting an 78% decline from the previous year
- **Dominance of Traditional Banks**
  - Consumers reliant on traditional banks
  - Slow rate of digital transformation and limited fintech collaboration opportunities



Tiernan Geary

Italy – Threats

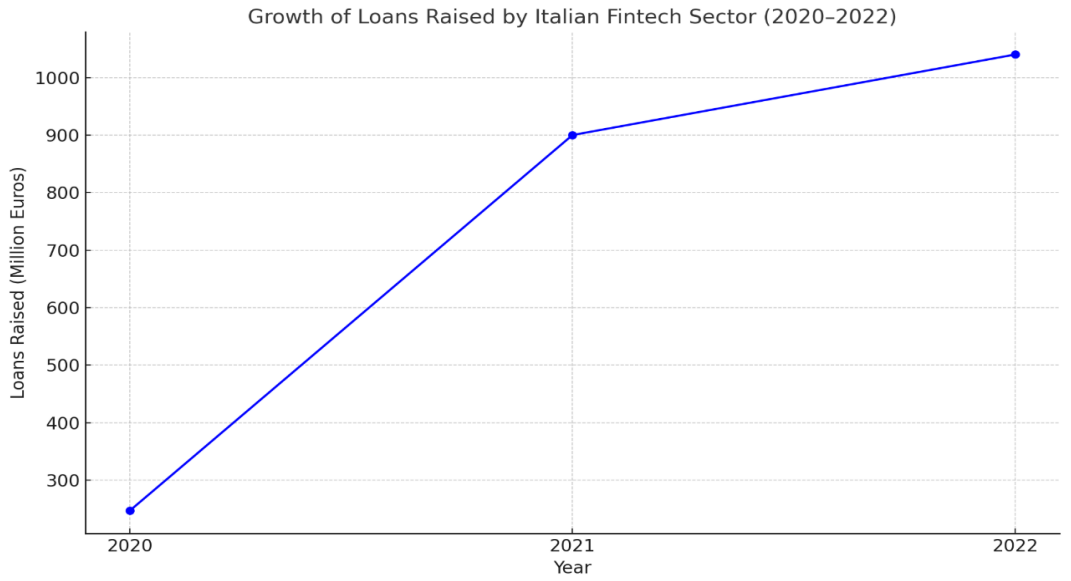
- **Regulatory Crackdowns**
  - In 2024, the Bank of Italy increased restrictions on foreign fintechs operating in Italy without full local licenses
  - Foreign partners are more likely to avoid the Italian market, limiting collaboration and capital
- **Global Competition from More Efficient Fintech Hubs**
  - Countries like the UK, Germany, Lithuania, and the Netherlands offer more advanced fintech ecosystems, regulatory sandboxes, and access to funding
  - The Italian talent pool often leave Italy to seek better opportunities abroad



Tiernan Geary

Italy – Opportunities

- **Increasing Market Growth of Fintech in Italy**
  - Fintech market projected CAGR of 23.7% from 2024 to 2032
    - Projected market value of US $2.02 Trillion in 2032
- **Fundraising poised for future growth**
  - In 2023, $1.2 Billion was invested in Italian fintech market
  - Fintech digital asset market anticipated to constitute 31% of the fintech market in Italy by 2032
- **Government support for future growth**
  - Government launch of The National Recovery and Resilience Plan (NRRP) allocates €40 billion for digital transformation



https://www.datacuberesearch.com/italy-fintech-digital-payment-market

Daylen Bowen

Italy – Star Fintechs



- **Postepay (Founded 2003)**
  - Fintech service provided by national postal service Poste Italiane
    - Payment solution that integrates easily within larger financial service ecosystem
  - Unique Aspects
    - Pre-paid cards, not linked to a bank account but loaded with funds
    - No bank account needed increasing financial inclusion
    - Integrates with the national postal service infrastructure
- **Criptalia (Founded 2018)**
  - Lending platform connecting investors with businesses needing financing
    - Crowdfunding options as well as peer-to peer-financing
  - Unique Aspects
    - Criptalia focuses on funding to SMEs in Italy rather than large corporations
    - Loans are tokenized and blockchain is used ensuring transparency and security for transactions
    - Investors are able to invest smaller sums in several companies

https://criptalia.com/

https://postepay.poste.it/

Daylen Bowen



Spain – Strengths

- **Thriving Startup Culture**
  - Spain ranks sixth among European countries with 1420 active fintech companies.
    - Madrid, Valencia, and Barcelona (80% of fintech located)
- **High Tech use and fintech adoption**
  - 40% of Spanish adults use online banking
- **Spain Startup Law, Enacted Jan. 1, 2023**
  - Requires one euro of capital to create legal entity
  - Increases personal income tax deduction for investment in startups from 30% to 50%
- **Fintech adoption rate of 56% by consumers**
  - 21st globally, 7th in Europe



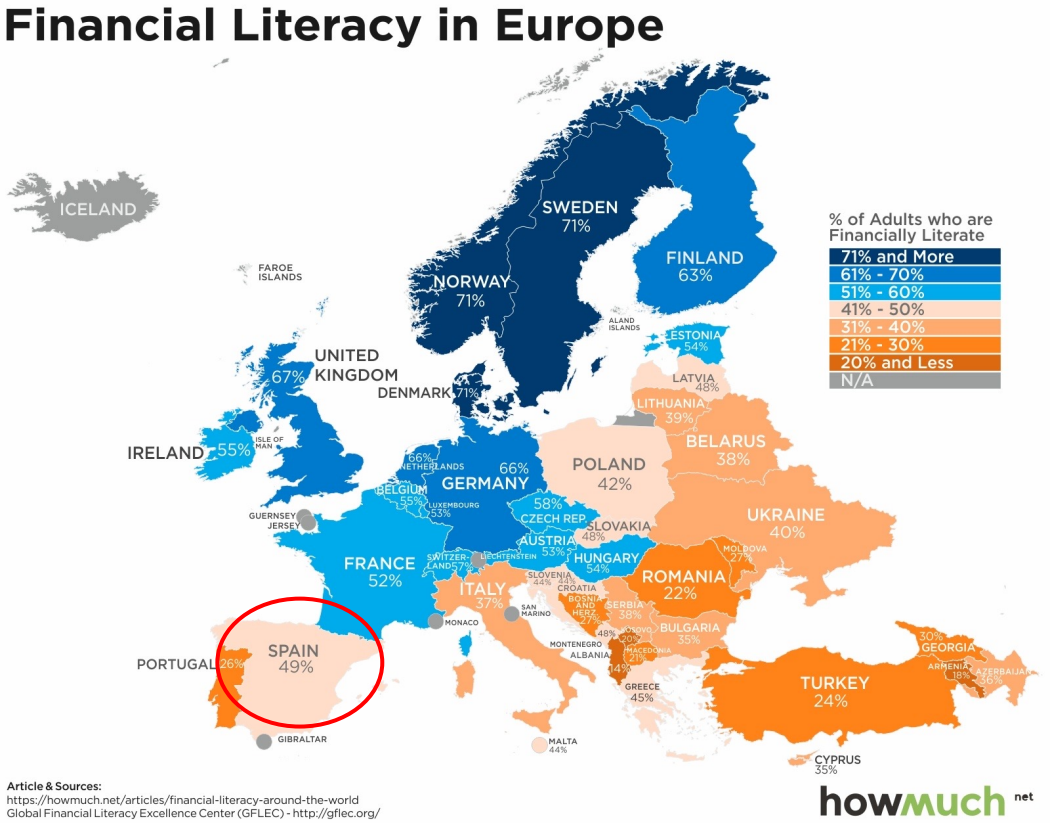
https://fintech.global/2022/11/08/why-spain-could-be-the-next-fintech-powerhouse/

Daylen Bowen

Spain – Weaknesses



- **Low public awareness and financial literacy limit:**
  - Limits user adoption forces them to traditional banking
- **Complex regulatory and bureaucratic hurdles:**
  - Difficult for startups to launch slowing innovation
- **Limited access to funding:**
  - For early stage companies
- **Shortage of skilled professionals:**
  - Not enough technical knowledge or soft skills
- **Resistance to digital transformation:**
  - Comfort with traditional banks
- **Lack of trust and poor user experience:**
  - Leads to low retention and failure



Mckenna Davies



Spain – Threats

- **Competition from Traditional Banks**
  - EX: Santander and BBVA
- **Regulatory Environment**
  - Improvement in CNMV lead to complex EU rules
- **Market Consolidation**
  - Reduce consumer choice
- **Technological Challenges**
  - Poses threats to smaller firms
- **Global Economic Conditions**
  - EX: Inflation, Reduced VC funding



(The National Securities Market Commission)



Spain – Opportunities

- **Market Growth and Emerging Technologies:**
  - Projected growth € 995 billion by 2032
- **Investment in FinTech Startups:**
  - 2024: € 3.1 Billion in investments
- **Regional Tech Hubs:**
  - Barcelona and Catalonia
- **Digital Payment Growth:**
  - Increased mobile wallets and payment platforms
- **Decentralized Finance (DeFi):**
  - More focus on blockchain and cryptocurrencies
- **Investment Decline and Strategic Shifts:**
  - Ai-driven risk assessment tools, automated investment platforms, innovative lending



Mckenna Davies



Spain – Star Fintechs

Bnext

What they do:

- Bnext is a fintech company based in Madrid that began as a neobank before developing into a more comprehensive online banking platform.

Why they stand out:

- In a single app, they enable users to manage their finances, make payments, and even browse for financial items (such as loans or insurance).
- A huge benefit for those who travel or work worldwide is the ability to send money overseas at competitive rates.

Impact:

- Bnext is helping shake up traditional banking in Spain. It's giving users more control, better options, and a much smoother digital experience. It's especially popular with younger users who expect more from their banks.

Bit2Me

What they do:

- Bit2Me is the most popular cryptocurrency platform in Spain. It has its own token and allows you can buy, trade, and store a variety of cryptocurrencies.

Why they stand out:

- They were among the first cryptocurrency businesses to receive official Bank of Spain recognition.
- Additionally, they are the owners of Bit2Me Academy, which has taught millions of individuals the fundamentals of blockchain and cryptocurrency.

Impact:

- Bit2Me is a major factor in Spain's rise to prominence in the cryptocurrency market. In addition to providing services, they are educating the public and fostering confidence in this emerging financial sector.

Asad Yussuf

Portugal – Strengths – Fintech Snapshot



The Three: Good, Bad, and Ugly

- **Strengths:** Excellent IT skills, affordable prices, and a welcoming startup environment, particularly in Porto and Lisbon.
- **Growth Drivers:** Include EU financing, digital usage, and a high standard of living that draws in talent from around the world.
- **Challenges:** Include a tiny market size, limited local finance, and difficult cross-border expansion.

Overview of the Ecosystem

- **Principal Participants**: Ebury (FX/payments), Raize (loans), and SIBS (payments).
- **Support**: Portugal Ventures, Fintech House, and Startup Lisboa.
- **Top Niche**: Blockchain, cryptocurrency, lending/crowdfunding, and payments.



The Regulatory Environment

- **Government Position**: Generally encouraging and open to new ideas.
- **Pros**: EU alignment and crypto-friendly regulations help in the growth of companies.
- **Cons**: Administration can slow things down, clarity about regulations is still developing.

Asad Yussuf

Portugal – Weaknesses – Fintech Weaknesses



The Three: Good, Bad, and Ugly

- **The Good:** Openness to digital money, growing startup culture, and proficient in technology talent.
- **The Bad:** Many fintechs depend on foreign investors, social funding is limited.
- **The Ugly:** Scaling is difficult in small local markets, businesses sometimes have to enter foreign markets early, which increases expenses and complexity.

Overview of the Ecosystem

- **Gaps:** Portugal lacks a significant number of high-growth fintechs, despite having several powerful players (such as SIBS and Raize).
- **Support Restrictions:** Although there are incubators and their resources are still being developed in comparison to larger hubs.
- **Niche Focus:** While cryptocurrency and payments are booming, other sectors like wealthtech and insurtech are still underrepresented.

The Regulatory Environment

- **Challenges**: A lack of clarity on newer technology, such as DeFi, and slow-moving bureaucracy.
- **Crypto Risks**: Although the regulations were benevolent, current changes toward taxes and stricter oversight may drive away entrepreneurs.
- **Conclusion:** Although the government is generally fintech-friendly, timeliness and execution are still issues.

Asad Yussuf



Portugal – Threats

Poor Financial Literacy

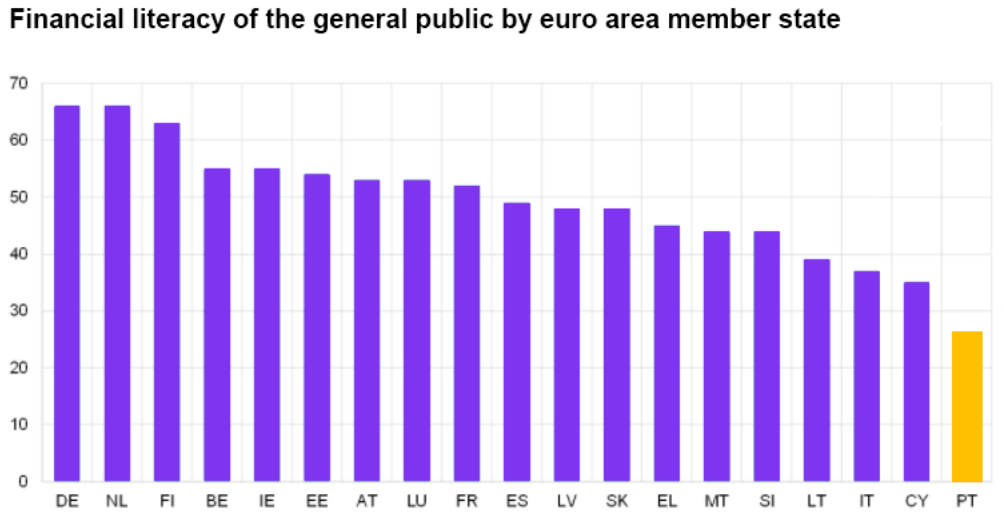
- Students in Portugal especially rank very low in financial literacy compared to other EU countries
- Average financial literacy score of 44.36 out of 100
- This can hurt the fintech sector and create a negative perspective of companies

Economic Challenges

- Globally, there are issues of high inflation and potential for a recession

Competitive Market

- The Fintech market is oversaturated, and investors are more selective
- Other EU countries like the UK have more funding and attract more Fintechs



https://www.google.com/url?sa=i&url=https%3A%2F%2Fwww.moneydog.eu%2Fen%2Fblog%2Ffinancial-iliteracy-in-portugal&psig=AOvVaw36PWdoCF5lAhB_GIxSgFr2&ust=1744820933145000&source=images&cd=vfe&opi=89978449&ved=0CBcQjhxqFwoTCJD4odS62owDFQAAAAAdAAAAABAJ

Nick Parrish

Portugal – Opportunities

Non-restrictive regulatory framework

- Portugal's legislature and regulatory authorities have a more neutral approach to the Fintech industry
- Portugal's regulatory environment is supportive of Fintech growth and innovation
- Portugal is a growing Fintech hub
- We'll see more companies base their operations in Portugal to avoid the strict regulatory environments of other countries

Future Projections

- Has a CAGR of 16.5%
- Reached a cumulative investment of 1.16 billion Euros in 2024
- Portugal is backing sectors like blockchain and cryptocurrency, lending and credit, Insurtech, and Regtech



https://www.google.com/url?sa=i&url=https%3A%2F%2Felsacyril.com%2Fthe-beautiful-lisbon-our-3-day-guide%2F&psig=AOvVaw30MUzKWU3n3ZsQSEdp2YrI&ust=1744820712926000&source=images&cd=vfe&opi=89978449&ved=0CBQQjRxqFwoTCMjA4ui520wDFQAAAAAdAAAAABAE

Nick Parrish



Portugal – Star Fintechs

Coverflex

- Digitized compensation management for employers
- Unique Aspects:
  - Some benefits through Coverflex can be tax-exempt
  - Employees use a Smart card to access different perks

Casafari

- Real-estate CRM platform
- Consolidates useful information about the real estate market for various investment platforms such as Vanguard, Kronos, Coldwell Banker, Sotheby's International Realty, etc.
- Unique Aspects:
  - Largest database of information regarding the real estate market
  - Utilization of AI and Machine Learning to keep their information precise and up-to-date

Nick Parrish

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